

WIC Funding Formula & Local Agency Contracts

Policy: The state WIC program shall allocate federal WIC funds to local public health agencies to administer the program throughout Colorado.

Regulation: 7 CFR 246.16, 7 CFR 246.4 (a)(5), 7 CFR 246.5 (c)(1)

Procedure/Additional Guidance:

Nutrition Services and Administration funds (NSA) are distributed to local agencies based on a funding formula that was developed by a committee comprised of Local Agency WIC Directors, Local Agency Directors of Administrative Services, and State Office staff. The objective of using a formula is to distribute funding to local agencies in a fair, impartial, and efficient manner.

The formula uses the following factors to distribute available funds by county:

- 1) Number of participants served,
- 2) Geographic Density of Service area,
- 3) Percent of Non-English Speaking Participants served,
- 4) Number of high-risk participants,
- 5) Churn: Monthly average number of participants living in one county but serviced in another county
- 6) Partnership funds
- 7) Hold harmless adjustment - This adjustment places limitations on how much an agencies funding can decrease from year to year. A subsequent cap is also placed on percentage of increase depending upon funding available.

Information for each component of the funding formula is found within the COWIC system data, with the exception of population density. Local agencies are required to submit an annual budget, which includes personnel costs and full time equivalent (FTE) caclucations for all employees. This budget is due by December 1st of each contract year to the Fiscal Unit Supervisor.

The Colorado WIC Program runs the funding formula prior to the start of a fiscal year based upon projected awards. It may also be run after USDA announces the Colorado WIC Program's level of funding (depending upon timing of the receipt of annual budget), and awards adjusted accordingly. Contracts are issued to the local health agencies on behalf of the Colorado Department of Public Health and Environment. If it is determined that additional funding is available for local agency contracts, the state office may opt to implement a supplemental funding process. This process will either be calculated by running the extra funding through the funding formula or allowing local agencies to submit an application for supplemental funds to help with additional budgetary needs, special projects to improve caseload, or capital improvement costs. Amendments are then made to the local agency contracts.

Termination of Local Agency Contracts

The State WIC Office may disqualify a local agency and terminate the contract:

- When the State determines noncompliance with Federal and/or State regulations.
- When the State's Program funds are insufficient to support the continued operation of all its existing local agencies at their current participation level.
- When the State determines, following a review of local agency operations, that another local agency can operate the Program more effectively and efficiently.
- When the State determines abuse of Program funds.
- When the State determines greater need in another area according to the Affirmative Action Plan.
- When another agency in the area of a higher priority according to the local agency priority system (see 7CFR Part 246, January 1995) is available to administer the Program.
- When another WIC agency in the area is capable of accepting the local agency's participants in order to consolidate local WIC Programs.

The right of appeal shall be granted when, during the course of the contract, a local agency is disqualified or any adverse action which affects participation is taken. Should the need arise to schedule an administrative hearing,



the Regulations provide that the local agency shall have one opportunity to reschedule the hearing date upon specific request. EXPIRATION AND SUBSEQUENT NON RENEWAL OF A CONTRACT SHALL NOT BE SUBJECT TO APPEAL.

The State Office shall provide the affected local agency with written notice not less than 60 days in advance of the pending disqualification which includes an explanation of the reasons for disqualification, the date of disqualification, and except in cases of the expiration of a local agency's contract, the local agency's right to appeal as set forth in Federal Regulations 7CFR 246.18.